

Understanding General Partnerships in Kenya

A Practical Guide to Formation, Registration, Governance and Compliance

Prepared for the LexReg Portal

A general partnership is a relationship between persons who carry on business in common with a view to making a profit. In Kenya, general partnerships are governed principally by the Partnerships Act, 2012 (now Cap. 29), while registration of a partnership's business name may also be required under the Registration of Business Names Act (Cap. 499).

A general partnership should be distinguished from a Limited Partnership and a Limited Liability Partnership (LLP). Those structures have different legal features, registration regimes and liability consequences.

For LexReg, a general partnership should be treated as a continuing business and governance relationship among partners, not merely as a business-name certificate.

1. What Is a General Partnership?

The Partnerships Act defines a partnership as the relationship which exists between persons who carry on business in common with a view to making a profit.

Two or More Partners
↓
Partnership Agreement / Default Rules
↓
Business Carried on in Common
↓
Profits, Assets & Obligations
↓
Governance + Compliance

The partnership relationship may be shaped by a partnership agreement. Where the partners have not dealt with a matter in their agreement, statutory default rules may apply.

2. General Partnership vs LLP vs Limited Partnership

- A General Partnership is the ordinary partnership relationship governed by the Partnerships Act.
- A Limited Partnership must have at least one general partner and at least one limited partner, and is separately registered under the Partnerships Act.
- An LLP is a body corporate with legal personality separate from its partners and is governed by the Limited Liability Partnership Act.
- A general partnership should therefore never be presented to a user as though it provides the liability protection of an LLP.

3. Who Are the Partners?

Partners are the persons who carry on the business in common. Depending on the circumstances and applicable law, a partner may be an individual or another legally capable person/entity.

LexReg should capture for each partner:

- full legal name or registered entity name;
- identification or incorporation details;
- KRA PIN;
- physical, postal and contact addresses;
- date of admission to the partnership;
- capital or other contribution;
- profit and loss sharing ratio;
- management role;
- authority or signing powers;
- bank mandate status;
- beneficial ownership or controlling-person information where applicable; and
- date and manner of retirement, cessation or death, where applicable.

4. The Partnership Agreement

A written Partnership Agreement is one of the most important governance documents for a general partnership. It should not merely be stored as a PDF. LexReg should extract or capture its operative rules so that the system can use them in governance workflows.

The agreement should ordinarily address:

- name and business of the partnership;
- commencement and duration;
- partners and their contributions;
- ownership and use of partnership property;
- profit and loss sharing;
- drawings and remuneration;
- management responsibilities;
- voting and decision thresholds;
- authority to bind the partnership;
- banking arrangements and signing mandates;
- accounts and financial year;
- admission of new partners;
- retirement, expulsion, death or incapacity;
- restrictions on competing activities and conflicts of interest;
- transfer of partnership interests;
- dispute resolution;

- dissolution and winding up; and
- distribution of assets and liabilities on termination.

Where the agreement is silent, the statutory default rules may become important. The onboarding process should therefore identify gaps rather than assume that every partnership operates in the same way.

5. Contributions and Partnership Property

Partners may contribute money, property, equipment, intellectual property, professional skill or other agreed resources. LexReg should distinguish between capital contributed to the partnership and property merely made available for partnership use.

- type of contribution;
- agreed value;
- date contributed;
- ownership/title documentation;
- whether contribution is capital, a loan or use-only property;
- conditions attaching to the contribution; and
- treatment on retirement or dissolution.

A Partnership Asset Register should separately track property acquired or held for partnership purposes.

6. Profit and Loss Sharing

The partnership agreement should state how profits and losses are allocated. LexReg should capture the agreed percentages or formula and the effective dates of any changes.

The system should not assume that contribution percentages, ownership interests, voting rights and profit shares are necessarily identical. Each should be captured separately where the agreement distinguishes them.

7. Management and Authority

A central partnership risk is the authority of partners to act for the business. LexReg should capture both the legal/default position and any agreed internal restrictions.

- who manages day-to-day operations;
- who may enter contracts;
- financial approval limits;
- who may borrow or grant security;
- who may hire employees;
- who may open or operate bank accounts;
- matters requiring unanimity or a specified majority; and
- transactions requiring prior written approval.

Internal restrictions should be made visible in governance workflows, although their effect against third parties may require separate legal analysis in a particular transaction.

8. Choosing and Registering the Business Name

A partnership may be required to register its business name under the Registration of Business Names Act. The Act requires registration where a firm carries on business under a business name that does not consist solely of the surnames of all individual partners and the corporate names of all corporate partners, subject to the statutory rules.

BRS currently combines business-name selection and registration into an online process. The registration service uses BN2 and results in a Certificate of Registration.

LexReg should capture proposed names, nature of business, places of business, partner particulars and the resulting registration details.

9. Suggested Registration Workflow

Create / Identify Partner Profiles
↓
Define Partnership Business
↓
Draft / Upload Partnership Agreement
↓
Capture Agreement Rules
↓
Proposed Business Name
↓
Business Address(es)
↓
BRS Business Name Registration (where required)
↓
Review & Confirm
↓
Certificate of Registration
↓
Create Partnership Workspace
↓
Generate Governance + Compliance Calendar

The precise BRS screen sequence can change. LexReg should therefore separate the stable legal/data model from portal-specific screen instructions that may require periodic updating.

10. Core Information for Registration and Onboarding

- proposed/registered business name;
- general nature of business;
- principal place of business;
- other places of business;

- commencement date;
- full particulars of each partner;
- partner identity/incorporation details;
- KRA PIN information;
- contact information;
- Partnership Agreement;
- capital/contribution information;
- profit/loss sharing arrangements;
- management and authority rules; and
- operational trigger information for tax, licences, employees and data protection.

11. Core Documents

LexReg should keep the initial document request proportionate. Depending on the partners and the application, the core document set should ordinarily include:

- identity document and KRA PIN for each individual partner;
- for a corporate partner, core incorporation and current ownership/official information appropriate to verifying the entity;
- Partnership Agreement, where one has been prepared;
- business-name registration application/output; and
- Certificate of Registration once issued.

Additional documents should be requested conditionally rather than making every partnership upload an unnecessarily large package.

12. Corporate Partners

Where a partner is a company or other legal entity, LexReg should create or link the Corporate Entity Profile rather than treating the corporate partner as an individual.

For a Kenyan company, a simplified verification set can ordinarily begin with the Certificate of Incorporation, KRA PIN and a current official search/CR12, with additional constitutional or authority documents requested where the transaction requires them.

The system should also capture the natural person authorised to act for the corporate partner and the evidence of that authority where required.

13. OCR and Reuse of Existing Profiles

Where partners already exist in LexReg, verified identity or corporate information should be reused.

Partner Documents / Existing Profiles
↓
OCR + Structured Extraction
↓
Partner Review & Confirmation

Partner Documents / Existing Profiles
↓
Partnership-Specific Data
↓
Registration / Governance Setup

OCR should reduce data entry, not eliminate human verification. Extracted information should be presented for confirmation before it is relied upon.

14. Partnership Register

LexReg should maintain a current and historical Partner Register.

Partner – Active
↓
Admission / Contribution / Authority
↓
Retirement / Expulsion / Death / Other Cessation
↓
Partner – Former
↓
Preserve Historical Rights & Records

The register should preserve effective dates, contributions, profit shares, voting/authority rights and supporting resolutions or agreements.

15. Partner Meetings and Decisions

A general partnership may operate less formally than a company, but significant decisions should still be documented.

- admission of a new partner;
- changes in contributions or profit shares;
- borrowing;
- major acquisitions or disposals;
- bank mandates;
- material contracts;
- employment of senior staff;
- opening new business locations;
- changes to the Partnership Agreement;
- retirement or expulsion of a partner; and
- dissolution.

LexReg should support written partner resolutions, meeting records and decision logs even where the law does not prescribe company-style minutes.

16. Banking and Financial Governance

- partnership/business bank accounts;
- authorised signatories;
- payment approval thresholds;
- partner drawings;
- capital accounts;
- partner loans;
- books of account;
- budgets;
- financial statements;
- tax records; and
- asset registers.

The system should distinguish capital, drawings, reimbursements and partner loans so that the financial relationship among partners remains intelligible.

17. Tax Compliance

The tax treatment of a partnership is distinct from simply treating the business as one individual's sole proprietorship. LexReg should capture the partnership's tax registrations and the partners' tax information and generate obligations according to current KRA rules and the nature of the business.

Because tax rules and thresholds change, the compliance engine should rely on current tax logic rather than permanently embedding one static set of assumptions in the entity template.

18. Licences and Operational Compliance

Business-name registration does not itself authorise every business activity. The partnership may require county permits, professional approvals or sector-specific licences.

LexReg should ask operational trigger questions covering:

- business location and premises;
- employees;
- regulated professional or commercial activity;
- personal-data processing;
- vehicles;
- imports/exports;
- consumer-facing activities;
- intellectual property;
- insurance; and
- property or lease obligations.

19. Employees

If the partnership employs staff, activate the Employment Compliance Module.

- employee register;
- contracts;
- payroll and statutory deductions;
- leave and attendance;
- workplace policies;
- health and safety;
- disciplinary/grievance records; and
- termination documentation.

20. Conflicts of Interest and Competing Activities

Partners owe duties arising from the partnership relationship and the agreement. LexReg should therefore provide a mechanism for recording conflicts, related-party transactions and any consent required for competing or connected activities.

Where the Partnership Agreement contains specific restrictions, those rules should populate the governance workflow.

21. Admission of a New Partner

Admission should be treated as a structured governance event rather than simply adding a name.

Proposed New Partner
↓
Due Diligence / Identity
↓
Partner Approval
↓
Contribution + Rights
↓
Amend Partnership Agreement
↓
Update BRS Particulars if Required
↓
Update Tax / Banking / Licences
↓
Activate Partner Profile

The system should preserve the effective date and the rights and obligations applying before and after admission.

22. Retirement, Death, Incapacity or Expulsion

A partner's departure can affect ownership, management, liabilities, business continuity and the Partnership Agreement.

- trigger/event date;
- notice or decision;
- valuation/accounting of the outgoing partner's interest;
- payment or settlement arrangements;
- treatment of capital and loans;
- continuing liabilities;
- client/customer notifications where necessary;
- banking and mandate changes;
- regulatory/business-name changes; and
- amended Partnership Agreement.

23. Changes in Registered Business Particulars

Where registered business-name particulars change, the relevant BRS change process should be completed. BRS currently identifies BN4 for changes of particulars and BN5 as the certificate/output for an approved change.

LexReg should retain both the old and new particulars and the effective date.

24. Does a General Partnership File Company Annual Returns?

A general partnership registered as a business name is not a company merely because it has a BRS registration certificate. LexReg should therefore not generate Companies Act annual returns for it.

Instead, the compliance calendar should reflect the partnership's actual tax, licensing, employment, contractual and sector-specific obligations, together with any partnership-specific filing triggered by changes.

25. Dissolution and Winding Up

Dissolution should be managed as a legal and operational process, not simply by marking the profile inactive.

- event or resolution causing dissolution;
- notice to partners and relevant third parties;
- collection of receivables;
- payment of liabilities;
- employee matters;
- termination/novation of contracts;
- sale or distribution of assets;
- partner capital and loan accounts;
- tax closure obligations;
- licence and permit closure;
- business-name cessation where applicable; and

- retention of final records.

BRS currently uses BN6 for cessation of a registered business name. That filing is only one part of the wider partnership winding-up process.

26. Conversion or Migration to an LLP or Company

Partners may later choose a different structure, particularly where the business has grown or liability/governance needs have changed.

BRS provides a conversion process from a business name to an LLP. LexReg should treat structural migration as a controlled transition requiring consideration of assets, contracts, employees, tax, licences, banking and ongoing liabilities rather than merely changing the entity label.

27. How LexReg Can Help

Formation & Registration

- partner onboarding and identity verification;
- corporate-partner linking;
- Partnership Agreement builder/upload;
- business-name registration data capture;
- OCR and document extraction;
- registration checklist; and
- certificate storage.

Governance

- Partner Register;
- capital/contribution register;
- profit/loss sharing matrix;
- authority and approval matrix;
- decision/resolution records;
- bank mandate records;
- conflict register; and
- Partnership Agreement rule extraction.

Compliance

- tax calendar;
- licence and permit renewals;
- employment compliance;
- data-protection obligations;
- changes in business particulars;
- partner admission/retirement workflows; and
- operational compliance triggers.

Legal & Governance Review

- missing or outdated Partnership Agreement;
- inconsistency between agreement and actual practice;
- unclear partner authority;
- undocumented partner changes;
- unrecorded capital or loans;
- outdated BRS particulars;
- missing licences;
- tax or employment compliance gaps;
- asset-ownership uncertainty; and
- succession/continuity risks.

28. Suggested LexReg Data Architecture

Individual / Corporate Partner Profiles
↓
General Partnership Profile
↓
Partnership Agreement Rules
↓
Partner + Contribution Register
↓
Authority / Decision Matrix
↓
Assets + Contracts + Employees
↓
Compliance Calendar
↓
Legal & Governance Audit

This allows one person to participate in multiple partnerships or other entities without duplicating their core identity information, while each partnership retains its own legal, financial and governance workspace.

29. The Key Principle

A general partnership is not simply a name shared by two people. It is a legal and commercial relationship through which persons carry on business in common with a view to profit.

Partners create the relationship
↓
The Partnership Agreement defines the internal rules
↓

Partners create the relationship
The business name identifies the trade where registration is required
↓
Partners manage the business and its obligations
↓
Records + governance preserve accountability
↓
Compliance follows the actual business activities

For LexReg, the central design objective should be to convert the Partnership Agreement and the partners' relationship into structured, usable governance data rather than merely storing registration documents.

Important Note

This guide provides general information about general partnerships in Kenya. It does not constitute legal, tax or financial advice for a particular partnership or transaction. Partnership liability, authority, tax treatment, registration and regulatory requirements may depend on the facts and may change. Current requirements should be verified when action is taken.

Key Legal and Regulatory References

- Partnerships Act (Cap. 29) – Kenya Law: <https://new.kenyalaw.org/akn/ke/act/2012/16/>
- Registration of Business Names Act (Cap. 499) – BRS: <https://brs.go.ke/wp-content/uploads/2023/03/RegistrationofBusinessNamesAct48of1951.pdf>
- Business Registration Service – Companies Registry: <https://brs.go.ke/companies-registry/>
- Business Registration Service – Fee Schedule: <https://brs.go.ke/fee-schedule-companies-registry/>
- Business Registration Service – BRS Version 2: <https://brsv2.ecitizen.go.ke/>